

Budget Line:-

A budget line represents all possible combinations that a consumer can afford with a fixed income.

Explanation

We will explain the budget line with help of table and diagram.

Table:

Pairs	x	y	Income
l	0	15	1500
m	1	12	1500
n	2	9	1500
o	3	6	1500
p	4	3	1500
q	5	0	1500

Explanation:-

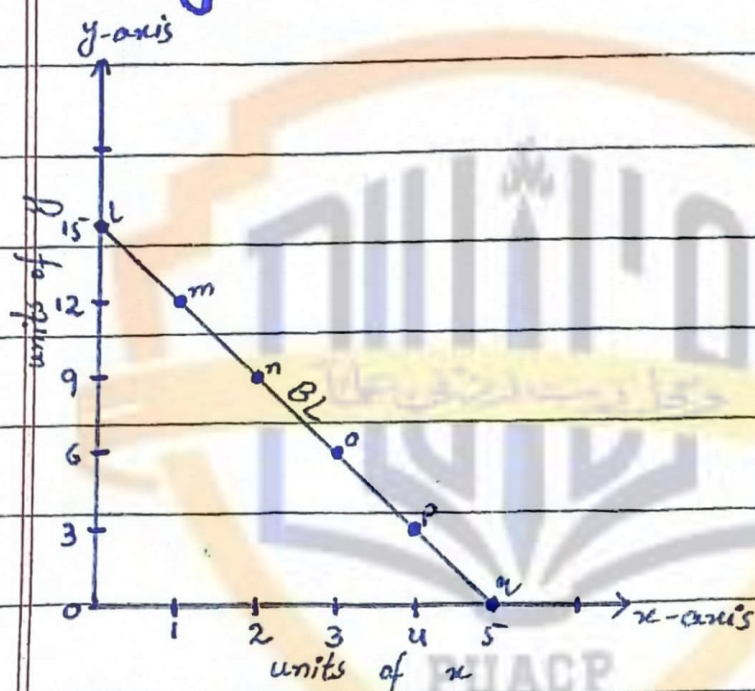
In table we shown pairs in 1st column, units of x in 2nd column, units of y in 3rd column, and income in 4th column.

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3rd column and Income in 4th column. Table show that all the pairs l, m, n, o, p and q are affordable for the consumer.

Diagram:-



Explanation:-

In diagram at x-axis we shown units of x and at y-axis units of y. By using x and y units we draw a BL curve. It means that all pairs on the BL are affordable for the consumer. All pairs that BL are unaffordable

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but all pairs at BL or below
the BL are affordable for the
consumer.

